

**BEFORE THE  
FEDERAL MARITIME COMMISSION**

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**DOCKET NO. 15-10**

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**REVOCATION OF LICENSE NO. 017843  
WASHINGTON MOVERS INTERNATIONAL, INC.**

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**MEMORANDUM IN OPPOSITION TO THE BUREAU OF ENFORCEMENT'S  
OPENING BRIEF**

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**June 5, 2017**

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Respondent Washington Movers International, Inc. (“Washington Movers” or “Respondent”) respectfully moves this Court to deny Petitioner the Bureau of Enforcement’s (“BOE” or “Petitioner”) petition to revoke License No. 017843 (the “License”). In support of its opposition, Washington Movers states:

### **SUMMARY**

Washington Movers is a female-owned Virginia corporation engaged in ocean freight forwarding. Incorporated on July 11, 1996, Washington Movers has arranged shipments of medical supplies, household goods, automobiles, auto equipment, and maritime equipment from the United States to five continents. Most frequently, Washington Movers ships goods from the United States to Arica, Chile. Washington Movers employs four individuals and hopes to employ more as its business grows.

On October 8, 2015, the FMC served Washington Movers with an Order to Show Cause relating to the possible revocation of Washington Movers’ License No. 017843 (the “License”). The Commission’s complaint primarily revolved around Sam Ghanem’s May 1, 2015 conviction for attempting to transport certain firearms overseas and Washington Movers’ failure to notify the Commission of such. As a secondary concern, the Commission raised issue with Washington Movers’ untimely notification of its name change from Washington Movers, Inc. to Washington Movers International, Inc.

First, Sam Ghanem’s conduct is independent of Washington Movers. The authorities brought no claims against Washington Movers. As of December 31, 2013, Norma Ghanem owned one-hundred percent (100%) of Washington Movers. See WM Exhibit A. As of January 1, 2014, Norma Ghanem was the sole officer (President, Secretary, and Treasurer) and director of Washington Movers. See WM Exhibit B. Sam Ghanem continued to sign certain documents after

that date as a transitional matter, but eventually his role ceased entirely. Petitioner does not allege any documents signed by Sam Ghanem after August 2015. There is no dispute that Washington Movers continued operating after October 2015, when Mr. Ghanem was incarcerated. Sam Ghanem neither owns any interest in Washington Movers nor serves as an officer or director of Washington Movers. Washington Movers is Norma Ghanem's business. As soon as Sam Ghanem's name became associated with possible criminal conduct, Norma Ghanem, along with Washington Movers' staff, took control to preserve the business.

Second, Washington Movers' untimely notification of its name change is far from "egregious" and does not warrant revocation of its License. Under Norma Ghanem's stewardship, Washington Movers has submitted the appropriate FMC-18 forms to the Commission to (1) notify the Commission of Washington Movers' name change and (2) register Norma Ghanem as Washington Movers' qualifying individual. Ms. Ghanem has also applied to either become Washington Movers' qualified individual and/or the qualifying individual of another business, but, due to this proceeding, which is unrelated to her conduct or character, Ms. Ghanem's applications have been denied. With nearly 20 years of experience and an unblemished record, Norma Ghanem exemplifies the character and fitness of a qualifying individual and will ensure that Washington Movers or any company complies with the Commission's regulations. Norma Ghanem has no association to any criminal activity nor has she ever been subject to criminal charges. Norma Ghanem, her business, her staff, and her future should not be punished for Sam Ghanem's alleged misconduct.

#### **STANDARD OF REVIEW**

BOE, as the proponent of an order revoking the license of Washington Movers, has the burden of proof. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155. Properly understood as the burden of persuasion, the party with the burden in an administrative proceeding must prove its case by a

preponderance of the evidence. Portman Square Ltd. - Possible Violations, 28 S.R.R. 80, 84 (ALJ 1998). A preponderance of the evidence means that the evidence makes the existence of a fact more probable than not. William R. Adair v. Penn-Nordic Lines, Inc., 26 S.R.R. 11, 15 (ALJ 1991).

The evidence in this case does not prove by a preponderance of the evidence that Washington Movers or Norma Ghanem violated any provision of the Shipping Act. 46 U.S.C.S. §§ 101, et seq.

### **ARGUMENT**

#### **I. Washington Movers is Independent From Sam Ghanem**

The License is Washington Movers' property, not Sam Ghanem's property, and cannot be revoked based on Mr. Ghanem's conduct.

Washington Movers has a property interest in its License. See In re Atl. Bus. Cmty. Dev. Corp., 994 F.2d 1069 (3d Cir. 1993) (holding that a federal tax lien could attach to the debtor's communications license, as the debtor's communications license constituted a property interest). Washington Movers is a separate, distinct entity from Sam Ghanem. See 1 U.S.C.S. § 1 ("the words person and whoever include corporations"); see also Korte v. Sebelius, 735 F.3d 654 (7th Cir. 2013) (in keeping with Dictionary Act, corporate plaintiffs were "persons" under Religious Freedom Restoration Act of 1993 and could invoke statute's protection); see generally Citizens United v. FEC, 558 U.S. 310, 130 S. Ct. 876 (2010). The law forbids prosecuting a person and taking away that person's property for another person's conduct. Harris News Agency, Inc. v. Bowers, 809 F.3d 411 (8th Cir. 2015); United States v. Lester, 85 F.3d 1409 (9th Cir. 1996) (holding that an innocent spouse's interest in property is unaffected by her husband's forfeiture to the Government even though property was used to "facilitate" criminal activity).

Harris News Agency proves instructive. In that case, James Harris Sr. and Louis Harris, wife and husband, sold guns under a federal license at their store, Jim's Hobbies. Harris News Agency at 412. Their two sons, James Harris Jr. and Brian Harris, also worked at the store. Id.

Brian Harris had been convicted of a felony, but continued working at the store with firearms. *Id.* In 2011, the ATF investigated a tip about Brian working with firearms. *Id.* at 412-13. The investigation eventually resulted in James Sr. pleading guilty to lying to an ATF investigator about Brian possessing guns at the store. *Id.* at 413. To "keep the family business going," Lois Harris, as the company's president, applied for a new license on behalf of Harris News. *Id.* They hoped to continue operating Jim's Hobbies, through Harris News, without James Sr.'s or Brian's involvement. *Id.* The ATF rejected Ms. Harris' application and claimed that by working at Jim's Hobbies and "allowing" Brian to work with firearms and ammunition, Lois Harris had become liable for Brian's illegal possession under 18 U.S.C. § 2(a), which makes anyone who "aids, abets, counsels, commands, induces or procures" the commission of a federal crime "punishable as a principal." *Id.* However, nothing in the record suggested Lois Harris gave Brian guns, told customers to give him guns, directed him to work with guns, or did anything else to further his possession of guns. *Id.* At most, the family knew Brian handled guns and could have stopped him, but did not, which is still no more than negative acquiescence. *Id.* at 214. Thus, the Court held that "absent a showing Lois [Harris]...affirmatively helped Brian [Harris] possess guns illegally, the aiding-and-abetting statute does not make [her] liable for [Brian Harris'] alleged violations. *Id.* The ATF had no authority to deny Harris News' firearm license application and divest Harris News of its property interest in the same. *Id.*

The present case is analogous. Washington Movers was not a party to the federal proceedings against Sam Ghanem. United States v. Sam Rafic Ghanem, Crim. Case No. RWT 14CR0008 (D.Md.). Norma Ghanem is an innocent spouse. In fact, Mr. Ghanem's alleged criminal conduct took place on Saturday, December 21, 2013, when Washington Movers was closed for business. After two trials, the first of which resulted in the jury deadlocking, Same Ghanem was

convicted of attempted export, 18 U.S.C. §2778, and sentenced to 18 months imprisonment. Through the entirety of the proceedings, other than a passing allegation that Norma Ghanem was possibly within ear shot of a conversation between Sam Ghanem and an informant, no allegations even suggested that Norma Ghanem was involved in any criminal activity. Norma Ghanem and Washington Movers, then and now, remain unimpeachable.

Further, Norma Ghanem applied to become Washington Movers' qualifying individual, and upon denial of her application, applied to register another company with the FMC and become its qualifying individual. Ms. Ghanem's attempts at compliance were thwarted due to this proceeding. Norma Ghanem, individually and as an affiliate of Washington Movers, was artificially stopped from following the Commission's rules and continuing her lawful business. See N. Am. Van Lines, Inc. v. United States, 412 F. Supp. 782 (N.D. Ind. 1976) (holding that the Interstate Commerce Commission's flagging rule, or deliberate policy of institutionalized delay in fairly reviewing and issuing a license due to an on-going investigation into an applicant's conduct, was invalid). In this case, Norma Ghanem's conduct is not at issue. Again, the BOE crusade against Norma Ghanem and Washington Movers, due to Sam Ghanem's conduct, is inappropriate. Norma Ghanem, Washington Movers, the company's staff, and the company's clients should not be punished because of Sam Ghanem's individual misconduct.

## **II. Revocation is Inappropriate in These Circumstances and There is No Chance of a Repeat Offence**

Given that Sam Ghanem's conduct is unrelated to Washington Movers, and at the most, constitutes a first time offense, revocation is inappropriate. See Commonwealth Shipping Ltd., Cargo Carriers Ltd., Martyn C. Merritt and Mary Anne Merritt – Submission of Materially False or Misleading Statements to the Federal Maritime Commission and False Representation of

Common Carrier Vessel Operations, FMC LEXIS 17 (2003). In fact, the first case brought against Sam Ghanem resulted in the jury deadlocking.

In Commonwealth Shipping, the Commission considered Martyn Merritt's sixteen year history before determining to revoke Commonwealth Shipping's license. Id. at 3-4. Over sixteen years Mr. Merritt appeared in front of the Commission three separate times relating to his continuing violation of the Commission's regulations and federal law. Id. To start, Mr. Merritt attempted to obtain transportation at less than the rates required by law, using six shell corporations to conceal his violations. Ariel Maritime Group, Inc., 24 S.R.R. 517 (1987). In response, the Commission issued a cease and desist order. Id. After continuing to violate the same rates regulations for the next eight years, the Commission again issued a cease and desist order. Martyn Merrit, AMG Services, Inc. et al., 27 S.R.R. 142 (1995). Meanwhile, Mr. Merritt was also convicted for conspiracy to commit fraud, for which he was sentenced to 5 years in prison and a \$936,000 fine. United States v. Merritt, 988 F.2d 1298 (2d. Cir. 1993), cert. denied, 508 U.S. 961 (1993). At the heart of Mr. Merritt's crime, he agreed to ship and deliver high quality powdered milk to Sudan, but instead, supplied a product used in animal feed and unfit for human consumption. Id.; See also Commonwealth Shipping FMC LEXIS 17 at 3-4. Finally, Commonwealth Shipping submitted materially misleading information on their qualifying individual application to the Commission, in an attempt to hide Mr. Merritt's control over the business. Commonwealth Shipping FMC LEXIS 17 at 6-9, 17. Only after the foregoing plethora of violations and criminal conduct did the Commission decide to revoke Commonwealth's license. Id. at 22.

The facts before the Commission in this case are highly distinguishable. First, Washington Movers is neither owned nor operated by Sam Ghanem. Sam Ghanem has no remaining interest in the business. Also, to the extent that Sam Ghanem's conduct peripherally related to Washington

Movers, to the extent that he was at Washington Movers' premises when it was closed, revocation is inappropriate. Mr. Ghanem was acting outside the scope of his work for Washington Movers, acting when the business was closed. Pursuant to its own precedent, the Commission reserves revocation only for the most egregious circumstances, in which licensees demonstrate no intent of future compliance. Sam Ghanem's criminal conviction arose out of a sting operation in which an FBI informant asked Sam Ghanem to undertake a shipment. The shipment never occurred. Washington Movers has no prior history of any violations and Sam Ghanem, himself, has no other history of violations.

Washington Movers, under Norma Ghanem, is committed to respecting the Commission's regulations and complying therewith. Ms. Ghanem is qualified to be the qualifying individual, and it is unwarranted to impose collective punishment on the Ghanem family due to Mr. Ghanem's offense. Washington Movers should not be rendered impotent because of the independent conduct of Sam Ghanem, effectively a third party removed from any of Washington Movers operations.

### **III. Washington Mover's Untimely Notification of Its Name Change Does Not Warrant Revocation of Its License**

On November 7, 2008, Washington Movers changed its name from Washington Movers, Inc. to Washington Movers International, Inc. Pursuant to 46 C.F.R. 515.18 (a)(5) the Commission must approve licensees' name changes. Washington Movers has submitted the appropriate FMC-18 forms to seek the Commission's approval of its name change.

Prior decisions have held that revoking or suspending an OTI license should be limited to the most egregious circumstances, including materially misrepresenting information regarding their qualifications. In the Matter of Ocean Transportation License in the Name of Apparel Logistics, Inc., Petition for Appeal from Staff Action or in the Alternative for Initiation of an Investigation,

30 S.R.R. 567, 570 (FMC 2004); see also Stallion Cargo, Inc. - Possible Violations of Sections 10(a)(1) and 10 (b) (1) of the Shipping Act of 1984, 29 S.R.R. 665, 683-84 (FMC 2001).

Washington Movers untimely notification of its name change is neither egregious nor a material misrepresentation of its qualifications. Washington Movers has generally continued business under the same name and there was and is no risk of any confusion. Washington Movers' name change had no effect on its qualifications as an ocean transport intermediary and should play no role in the Commission's decision related to its License.

Given the foregoing, the Commission should not revoke Washington Movers' License.

### **CONCLUSION**

There is no evidence that Washington Movers was charged with or convicted of any crime, including a violation of the Shipping Act. At present, Norma Ghanem owns and operates the business. As Harris News Agency, Inc. v. Bowers, 809 F.3d 411 (8th Cir. 2015) instructed, the crimes of a family member cannot be imputed to a family business or the other members of a family. In this case, Sam Ghanem was convicted of a crime; but, his wife and business had no knowledge of the same and took no steps to aid or abet him. The BOE's crusade to punish a small business with limited resources, despite no chance of a repeat offence, is unjustified and inequitable. Ms. Ghanem, her children, and Washington Movers' employees have lived under the threat of losing their livelihood for long enough. The BOE's petition should be denied.

Dated: June 5, 2017

Respectfully Submitted,



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**CERTIFICATE OF SERVICE**

I certify that I sent a copy of Respondent's (1) Opposition to the BOE's Opening Brief, (2) Appendix, and (3) Proposed Finding of Facts on June 5, 2017 via e-mail and first class mail, postage prepaid to:

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